MAVEN TOYS

Colorbuds, our #1 profit toy, is in decline

A plan to protect profit by backing newer, higher-margin toys

Colorbuds are our line of kids' wireless earbuds



Business review | Data through Sep 30, 2023

Our top profit toy is fading, and a newer toy is already making up part of the gap

COLORBUDS' SHARE OF QUARTERLY PROFIT

28% → 13%

Q3 2022 to Q3 2023

PLAYFOAM PROFIT PER MONTH

$20K

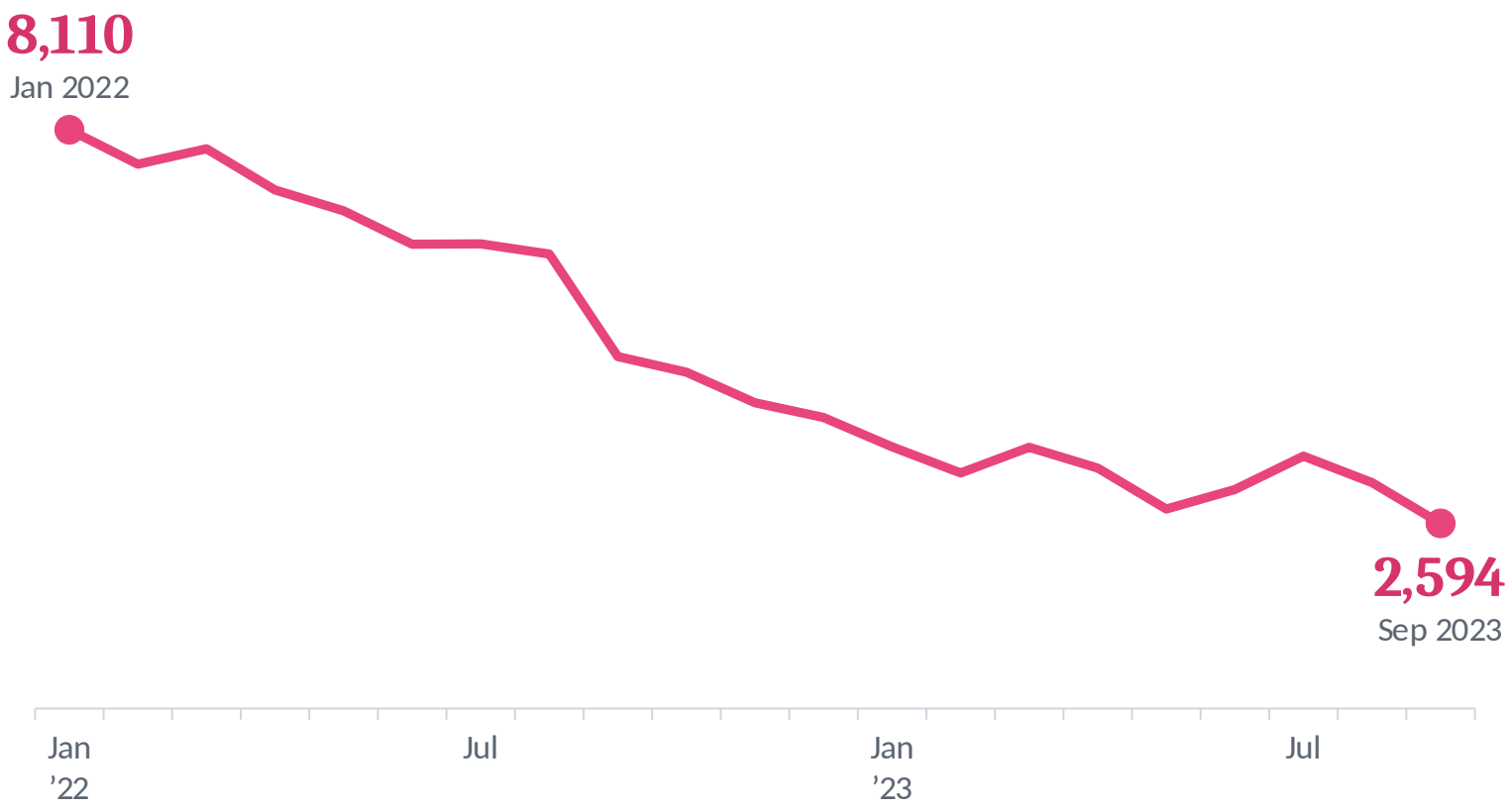
At its September pace

- Colorbuds is still our **#1 profit toy**, but its share has **more than halved**
- Playfoam launched in mid-August and is already a **top-5 profit toy**
- Playfoam's September pace is **nearly half** of the $44K a month Colorbuds has lost

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

Colorbuds sales have fallen 68% since January 2022, across almost every store

COLORBUDS UNITS SOLD PER MONTH



WHAT WE SEE

- Down in **48 of 50 stores**, in every store type
- Every store still carries it, so this is **weaker demand, not empty shelves**
- Quarterly profit has **roughly halved**: $142K to $74K

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

Fading is normal for our toys: 9 of 10 recent launches are 40%+ below their peak

9 of 10

recent launches are 40%+ below their peak month



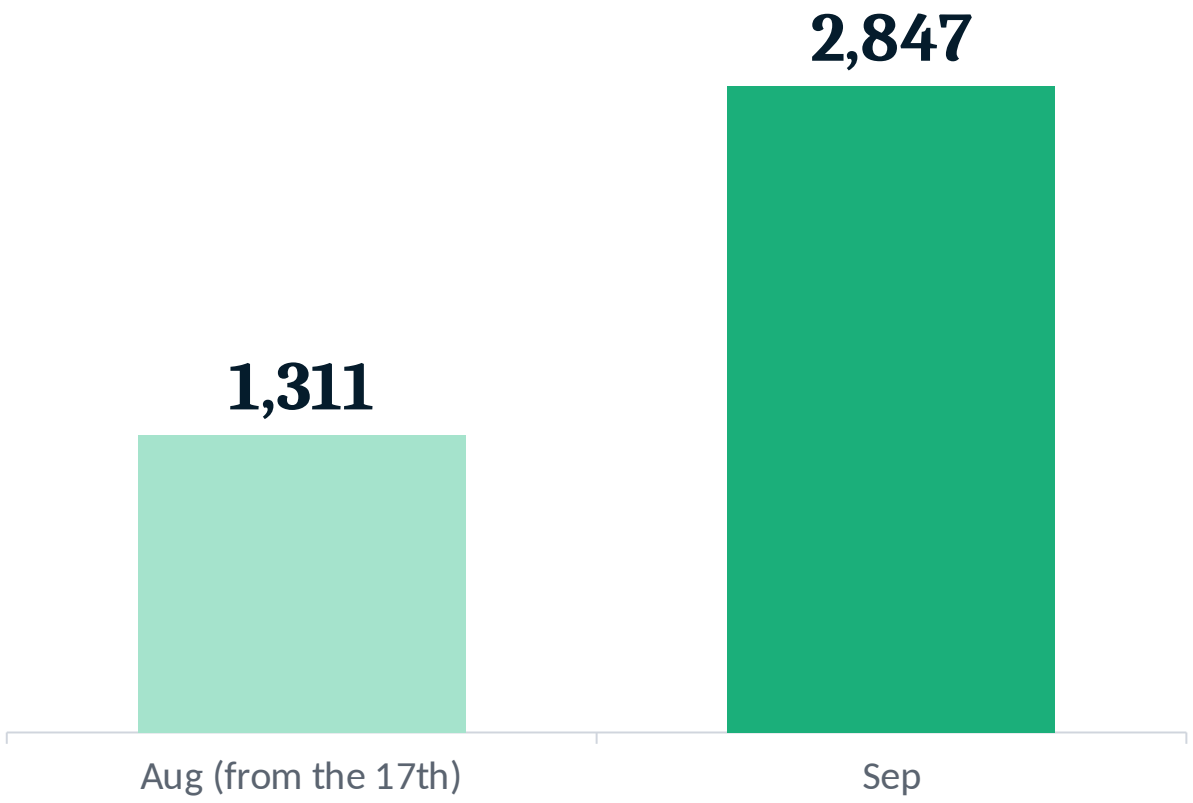
EXAMPLES

- Jenga peaked in Jul 2022 and is now **down 92%**
- Etch A Sketch peaked its second month and is **down 56%**
- Hot Wheels is the **lone exception**, down just 9%
- Colorbuds follows the **same pattern**

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

Playfoam is the early bright spot, but 13 empty stores are costing us about $5K a month

PLAYFOAM UNITS SOLD PER MONTH



64% margin

$7 profit on every unit

13 stores out of stock

about $5K a month left on the table

- Launched Aug 17 and already a **top-5 profit toy**
- New toys often cool off, so **the window to act is short**

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

We recommend three moves: back newer, higher-margin toys, test one Colorbuds fix, and review in 8 weeks

1

Keep Playfoam in stock

- Refill the **13 empty stores**
- Check weekly; worth about **$5K a month**

2

Test one Colorbuds fix

- **10 test stores** vs 10 similar ones
- Up to about **$11K a month** if it works

3

Review in 8 weeks

- **Scale what works**, stop what doesn't
- Pick the next **higher-margin toy**

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.